



**Interim Financial Statements**  
Period Ended 30 September 2020

**AMBEON CAPITAL PLC AND ITS SUBSIDIARIES**  
**STATEMENT OF PROFIT OR LOSS**

| For the Quarter Ended 30th September,                               | GROUP                |                      |             | COMPANY              |                      |             |
|---------------------------------------------------------------------|----------------------|----------------------|-------------|----------------------|----------------------|-------------|
|                                                                     | 2020                 | 2019                 | % Change    | 2020                 | 2019                 | % Change    |
|                                                                     | LKR                  | LKR                  |             | LKR                  | LKR                  |             |
| <b>Continuing Operations</b>                                        |                      |                      |             |                      |                      |             |
| Revenue                                                             | 5,330,397,448        | 6,434,357,857        | -17%        | 106,450,026          | 37,704,528           | 182%        |
| Direct Cost                                                         | (3,988,231,104)      | (5,214,501,077)      | -24%        | -                    | -                    | -           |
| <b>Gross Profit</b>                                                 | <b>1,342,166,344</b> | <b>1,219,856,781</b> | <b>10%</b>  | <b>106,450,026</b>   | <b>37,704,528</b>    | <b>182%</b> |
| Investment and Other Income                                         | 5,127,770            | 37,111,775           | -86%        | 75,314               | 75,320               | 0%          |
| Selling and Distribution Expenses                                   | (166,735,098)        | (208,099,565)        | -20%        | -                    | -                    | -           |
| Administrative Expenses                                             | (558,063,852)        | (645,390,510)        | -14%        | (13,822,315)         | (11,205,437)         | 23%         |
| Change in Fair Value of Financial Assets Held for Trading           | (104,596,308)        | 31,287,570           | -434%       | (107,040,838)        | (7,384,219)          | 1350%       |
| Finance Cost                                                        | (202,083,600)        | (312,110,647)        | -35%        | (132,093,655)        | (155,897,513)        | -15%        |
| <b>Profit/(Loss) Before Income Tax from Continuing Operations</b>   | <b>315,815,256</b>   | <b>122,655,403</b>   | <b>157%</b> | <b>(146,431,468)</b> | <b>(136,707,321)</b> | <b>7%</b>   |
| Income Tax Expense                                                  | (94,430,024)         | (90,857,855)         | 4%          | -                    | -                    | -           |
| <b>Profit/(Loss) for the Period from Continuing Operations</b>      | <b>221,385,232</b>   | <b>31,797,548</b>    | <b>596%</b> | <b>(146,431,468)</b> | <b>(136,707,321)</b> | <b>7%</b>   |
| <b>Discontinued Operations</b>                                      |                      |                      |             |                      |                      |             |
| Profit/(Loss) after tax for the period from discontinued operations | -                    | 328,196.0            | -100%       | -                    | -                    | -           |
| <b>Profit/(Loss) for the period</b>                                 | <b>221,385,232</b>   | <b>32,125,744</b>    | <b>589%</b> | <b>(146,431,468)</b> | <b>(136,707,321)</b> | <b>7%</b>   |
| <b>Profit Attributable to:</b>                                      |                      |                      |             |                      |                      |             |
| Equity Holders of the Company                                       | 55,892,432           | (11,428,925)         |             | (146,431,468)        | (136,707,321)        |             |
| Non - Controlling Interests                                         | 165,492,801          | 43,554,669           |             | -                    | -                    |             |
|                                                                     | <b>221,385,232</b>   | <b>32,125,744</b>    |             | <b>(146,431,468)</b> | <b>(136,707,321)</b> |             |
| Basic Earnings / (Deficit) Per Share                                | <b>0.06</b>          | (0.01)               |             | <b>(0.15)</b>        | (0.14)               |             |

The Notes form an integral part of these Financial Statements  
Figures in bracket indicate deductions

**AMBEON CAPITAL PLC AND ITS SUBSIDIARIES**  
**STATEMENT OF OTHER COMPREHENSIVE INCOME**

|                                                                | <b>GROUP</b> |             | <b>COMPANY</b> |               |
|----------------------------------------------------------------|--------------|-------------|----------------|---------------|
| <b>For the Quarter Ended 30th September,</b>                   | <b>2020</b>  | <b>2019</b> | <b>2020</b>    | <b>2019</b>   |
|                                                                | <b>LKR</b>   | <b>LKR</b>  | <b>LKR</b>     | <b>LKR</b>    |
| Profit/ (Loss) for the Period                                  | 221,385,232  | 32,125,744  | (146,431,468)  | (136,707,321) |
| <b>Other Comprehensive Income</b>                              |              |             |                |               |
| <b>Items that will never be reclassified to profit or loss</b> |              |             |                |               |
| Defined Benefit Obligations Actuarial Gain / (Loss)            | -            | -           | -              | -             |
| Related Tax                                                    | -            | -           | -              | -             |
|                                                                | -            | -           | -              | -             |
| <b>Items that are or may be reclassified to profit or loss</b> |              |             |                |               |
| Revaluation Gain of Land and Bulding                           | -            | -           | -              | -             |
| Tax on Revaluation Gain                                        | -            | -           | -              | -             |
| Effect of CF Hedge Accounting                                  | 909,934      | -           | -              | -             |
| Currency Translation of Foreign Operation                      | (53,934,023) | 43,525,839  | -              | -             |
| Gain/(Loss) From Change in Fair Value of Financial Assets      | 109,826,602  | 17,572,256  | -              | -             |
| Related Tax                                                    | 11,467,425   | -           | -              | -             |
|                                                                | 68,269,938   | 61,098,095  | -              | -             |
| <b>Total Other Comprehensive Income</b>                        | 68,269,938   | 61,098,095  | -              | -             |
| <b>Total Comprehensive Income for the Period</b>               | 289,655,170  | 93,223,839  | (146,431,468)  | (136,707,321) |
| <b>Total Comprehensive Income Attributable to:</b>             |              |             |                |               |
| Equity Holders of the Company                                  | 209,168,456  | 37,471,805  | (146,431,468)  | (136,707,321) |
| Non - Controlling Interests                                    | 80,487,715   | 55,751,034  | -              | -             |
|                                                                | 289,656,170  | 93,222,839  | (146,431,468)  | (136,707,321) |

**AMBEON CAPITAL PLC AND ITS SUBSIDIARIES**  
**STATEMENT OF PROFIT OR LOSS**

| For the Period Ended 30th September,                                | GROUP                |                      |            | COMPANY            |                      |            |
|---------------------------------------------------------------------|----------------------|----------------------|------------|--------------------|----------------------|------------|
|                                                                     | 2020                 | 2019                 | % Change   | 2020               | 2019                 | % Change   |
|                                                                     | LKR                  | LKR                  |            | LKR                | LKR                  |            |
| <b>Continuing Operations</b>                                        |                      |                      |            |                    |                      |            |
| Revenue                                                             | 8,762,291,494        | 10,902,362,522       | -20%       | 299,991,793        | 178,600,330          | 68%        |
| Direct Cost                                                         | (6,635,334,524)      | (8,747,977,790)      | -24%       | -                  | -                    | -          |
| <b>Gross Profit</b>                                                 | <b>2,126,956,970</b> | <b>2,154,384,732</b> | <b>-1%</b> | <b>299,991,793</b> | <b>178,600,330</b>   | <b>68%</b> |
| Investment and Other Income                                         | 10,479,064           | 44,827,894           | -77%       | 153,002            | 300,897              | -49%       |
| Selling and Distribution Expenses                                   | (299,475,484)        | (386,266,675)        | -22%       | -                  | -                    | -          |
| Administrative Expenses                                             | (1,007,235,354)      | (1,252,883,398)      | -20%       | (26,675,669)       | (22,479,585)         | 19%        |
| Change in Fair Value of Financial Assets Held for Trading           | 6,637,755            | 12,962,975           | -49%       | 12,836,046         | 2,228,595            | 476%       |
| Finance Cost                                                        | (456,373,192)        | (605,084,382)        | -25%       | (274,883,360)      | (303,480,658)        | -9%        |
| <b>Profit/(Loss) Before Income Tax from Continuing Operations</b>   | <b>380,989,759</b>   | <b>(32,058,854)</b>  |            | <b>11,421,812</b>  | <b>(144,830,421)</b> |            |
| Income Tax Expense                                                  | (134,475,546)        | (114,298,260)        | 18%        | -                  | -                    | -          |
| <b>Profit/(Loss) for the Period from Continuing Operations</b>      | <b>246,514,213</b>   | <b>(146,357,114)</b> |            | <b>11,421,812</b>  | <b>(144,830,421)</b> |            |
| <b>Discontinued Operations</b>                                      |                      |                      |            |                    |                      |            |
| Profit/(Loss) after tax for the period from discontinued operations | -                    | (47,000)             | -100%      | -                  | -                    | -          |
| <b>Profit/(Loss) for the period</b>                                 | <b>246,514,213</b>   | <b>(146,404,114)</b> |            | <b>11,421,812</b>  | <b>(144,830,421)</b> |            |
| <b>Profit Attributable to:</b>                                      |                      |                      |            |                    |                      |            |
| Equity Holders of the Company                                       | 105,011,211          | (144,716,179)        |            | 11,421,812         | (144,830,421)        |            |
| Non - Controlling Interests                                         | 141,503,002          | (1,687,935)          |            | -                  | -                    |            |
|                                                                     | <b>246,514,213</b>   | <b>(146,404,114)</b> |            | <b>11,421,812</b>  | <b>(144,830,421)</b> |            |
| Basic Earnings / (Deficit) Per Share                                | <b>0.10</b>          | <b>(0.14)</b>        |            | <b>0.01</b>        | <b>(0.14)</b>        |            |

The Notes form an integral part of these Financial Statements  
Figures in bracket indicate deductions

**AMBEON CAPITAL PLC AND ITS SUBSIDIARIES**  
**STATEMENT OF OTHER COMPREHENSIVE INCOME**

|                                                                | <b>GROUP</b>       |               | <b>COMPANY</b>    |               |
|----------------------------------------------------------------|--------------------|---------------|-------------------|---------------|
| <b>For the Period Ended 30th September,</b>                    | <b>2020</b>        | 2019          | <b>2020</b>       | 2018          |
|                                                                | <b>LKR</b>         | LKR           | <b>LKR</b>        | LKR           |
| Profit/ (Loss) for the Period                                  | <b>246,514,213</b> | (146,404,114) | <b>11,421,812</b> | (144,830,421) |
| <b>Other Comprehensive Income</b>                              |                    |               |                   |               |
| <b>Items that will never be reclassified to profit or loss</b> |                    |               |                   |               |
| Defined Benefit Obligations Actuarial Gain / (Loss)            | 59,834             | -             | -                 | -             |
| Related Tax                                                    | (16,753)           | -             | -                 | -             |
|                                                                | <b>43,080</b>      | -             | -                 | -             |
| <b>Items that are or may be reclassified to profit or loss</b> |                    |               |                   |               |
| Effect of CF Hedge Accounting                                  | 20,637,751         | -             | -                 | -             |
| Currency Translation of Foreign Operation                      | (81,910,175)       | 47,718,368    | -                 | -             |
| Gain/(Loss) From Change in Fair Value of Financial Assets      | 52,716,769         | (21,965,321)  | -                 | -             |
| Related Tax                                                    | 11,467,425         | -             | -                 | -             |
|                                                                | <b>2,911,770</b>   | 25,753,047    | -                 | -             |
| <b>Total Other Comprehensive Income</b>                        | <b>2,954,850</b>   | 25,753,047    | -                 | -             |
| <b>Total Comprehensive Income for the Period</b>               | <b>249,469,063</b> | (120,651,067) | <b>11,421,812</b> | (144,830,421) |
| <b>Total Comprehensive Income Attributable to:</b>             |                    |               |                   |               |
| Equity Holders of the Company                                  | 200,223,724        | (124,678,857) | 11,421,812        | (144,830,421) |
| Non - Controlling Interests                                    | 49,246,339         | 4,026,790     | -                 | -             |
|                                                                | <b>249,469,063</b> | (120,652,067) | <b>11,421,812</b> | (144,830,421) |

**AMBEON CAPITAL PLC AND ITS SUBSIDIARIES**  
**STATEMENT OF FINANCIAL POSITION**

| As at,                                                      | GROUP                 |                       | COMPANY               |                       |
|-------------------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
|                                                             | 30-Sep-20             | 31-Mar-20             | 30-Sep-20             | 31-Mar-20             |
|                                                             | LKR                   | Audited<br>LKR        | LKR                   | Audited<br>LKR        |
| <b>ASSETS</b>                                               |                       |                       |                       |                       |
| <b>Non-Current Assets</b>                                   |                       |                       |                       |                       |
| Property, Plant & Equipment                                 | 4,556,878,768         | 4,773,222,618         | 8,938,348             | 11,476,105            |
| Right to use Asset                                          | 158,090,635           | 156,964,002           | 3,862,934             | 4,690,705             |
| Intangible Assets                                           | 1,537,469,936         | 1,620,745,310         | -                     | -                     |
| Biological Assets                                           | 51,167,075            | 51,167,075            | -                     | -                     |
| Investment Property                                         | 4,405,315,026         | 4,405,315,025         | 33,000,000            | 33,000,000            |
| Investment in Subsidiaries                                  | -                     | -                     | 9,177,601,891         | 9,177,601,891         |
| Investment in Equity Accounted Investee                     | 11,929,840            | 11,929,544            | -                     | -                     |
| Other Financial Assets                                      | 289,844,110           | 310,556,761           | -                     | -                     |
| Deferred Tax Asset                                          | 78,621,907            | 81,878,408            | -                     | -                     |
|                                                             | <b>11,089,317,297</b> | <b>11,411,778,743</b> | <b>9,223,403,173</b>  | <b>9,226,768,701</b>  |
| <b>Current Assets</b>                                       |                       |                       |                       |                       |
| Inventories                                                 | 2,987,449,411         | 4,094,933,962         | -                     | -                     |
| Other Financial Assets                                      | 3,208,158,005         | 1,998,572,652         | 2,244,934,547         | 1,043,426,486         |
| Trade & Other Receivables                                   | 6,292,301,653         | 6,392,014,130         | 109,033,067           | 112,539,745           |
| Income Tax Recoverable                                      | 58,876,972            | 45,966,455            | -                     | -                     |
| Cash & Cash Equivalents                                     | 1,053,753,652         | 782,950,232           | 314,423               | 29,277,252            |
|                                                             | <b>13,600,539,693</b> | <b>13,314,437,431</b> | <b>2,354,282,037</b>  | <b>1,185,243,483</b>  |
| <b>Total Assets</b>                                         | <b>24,689,856,990</b> | <b>24,726,216,174</b> | <b>11,577,685,210</b> | <b>10,412,012,184</b> |
| <b>EQUITY AND LIABILITIES</b>                               |                       |                       |                       |                       |
| <b>Equity</b>                                               |                       |                       |                       |                       |
| Stated Capital                                              | 1,053,643,405         | 1,053,643,405         | 1,053,643,405         | 1,053,643,405         |
| Retained Earnings                                           | 2,177,688,822         | 1,975,475,189         | 4,548,074,993         | 4,536,653,181         |
| Other Components of Equity                                  | 649,369,800           | 651,359,708           | 258,920,263           | 258,920,263           |
| <b>Equity Attributable to Equity Holders of the Company</b> | <b>3,880,702,027</b>  | <b>3,680,478,302</b>  | <b>5,860,638,661</b>  | <b>5,849,216,849</b>  |
| Non Controlling Interests                                   | 3,162,657,186         | 3,176,697,941         | -                     | -                     |
| <b>Total Equity</b>                                         | <b>7,043,359,213</b>  | <b>6,857,176,243</b>  | <b>5,860,638,661</b>  | <b>5,849,216,849</b>  |
| <b>Non-Current Liabilities</b>                              |                       |                       |                       |                       |
| Other Financial Liabilities                                 | 21,910,743            | 21,910,743            | 20,965,777            | 20,965,777            |
| Interest Bearing Loans & Borrowings                         | 3,477,658,823         | 3,751,269,536         | 3,098,221,878         | 3,303,387,464         |
| Retirement Benefit Obligations                              | 483,692,945           | 442,666,690           | -                     | -                     |
| Deferred Tax Liability                                      | 780,016,834           | 786,304,861           | 1,951,191             | 1,951,191             |
|                                                             | <b>4,763,279,344</b>  | <b>5,002,151,830</b>  | <b>3,121,138,846</b>  | <b>3,326,304,432</b>  |
| <b>Current Liabilities</b>                                  |                       |                       |                       |                       |
| Trade and Other Payables                                    | 4,537,949,736         | 3,932,410,752         | 42,767,985            | 43,368,307            |
| Income Tax Payable                                          | 343,712,732           | 212,399,006           | -                     | -                     |
| Contract Liability                                          | 857,432,445           | 924,172,960           | -                     | -                     |
| Interest Bearing Loans & Borrowings                         | 7,144,123,520         | 7,797,905,383         | 2,553,139,719         | 1,193,122,596         |
|                                                             | <b>12,883,218,433</b> | <b>12,866,888,101</b> | <b>2,595,907,704</b>  | <b>1,236,490,903</b>  |
| <b>Total Equity and Liabilities</b>                         | <b>24,689,856,990</b> | <b>24,726,216,174</b> | <b>11,577,685,210</b> | <b>10,412,012,184</b> |
| Net Assets Per Share (Rs.)                                  | <b>3.87</b>           | <b>3.67</b>           | <b>5.84</b>           | <b>5.83</b>           |

The notes form an integral part of these financial statements.  
Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

Sgd.  
Haritha C Perera  
**Chief Financial Officer**

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.

Sgd.  
Sanjeev Gardiner  
**Chairman**

Sgd.  
Ajith Devasurendra  
**Deputy Chairman**

11th November 2020  
Colombo

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES  
STATEMENT OF CHANGES IN EQUITY

| GROUP                                                 | Attributable to Equity Holders of the Company |                         |                                |                     |                                      |                          | Non Controlling Interests | Total Equity  |
|-------------------------------------------------------|-----------------------------------------------|-------------------------|--------------------------------|---------------------|--------------------------------------|--------------------------|---------------------------|---------------|
|                                                       | Stated Capital<br>Rs.                         | Currency/Exchange Hedge | Fair Value Through OCI Reserve | Revaluation Reserve | Foreign Currency Translation Reserve | Retained Earnings<br>Rs. | Total<br>Rs.              |               |
| Balance as at 31 March 2019                           | 1,053,643,405                                 | -                       | (209,184,472)                  | 1,186,791,520       | (258,957,376)                        | 1,730,353,845            | 3,502,646,922             | 6,600,860,336 |
| Profit / (Loss) for the period                        |                                               |                         |                                |                     |                                      | (144,716,179)            | (144,716,179)             | (146,404,114) |
| Other Comprehensive Income                            |                                               |                         | -                              | -                   | -                                    | 20,037,322               | 5,714,725                 | 25,752,047    |
| <b>Total Comprehensive Income for the Period</b>      |                                               |                         | -                              | -                   | -                                    | (124,678,857)            | 4,026,790                 | (120,652,067) |
| Balance as at 30 September 2019                       | 1,053,643,405                                 |                         | (209,184,472)                  | 1,186,791,520       | (258,957,376)                        | 1,605,674,988            | 3,377,968,065             | 6,480,208,269 |
| Profit / (Loss) for the period                        |                                               |                         |                                |                     |                                      | 106,296,145              | 283,838,901               | 390,135,046   |
| Other Comprehensive Income                            |                                               | (19,080,559)            | (7,154,544)                    | 78,558,268          | 106,669,463                          | (35,685,632)             | 42,992,921                | 166,299,917   |
| <b>Total Comprehensive Income for the Period</b>      |                                               | (19,080,559)            | (7,154,544)                    | 78,558,268          | 106,669,463                          | 70,610,513               | 326,831,822               | 556,434,963   |
| <b>Transactions with owners of the Company</b>        |                                               |                         |                                |                     |                                      |                          |                           |               |
| <b>Contributions and Distributions</b>                |                                               |                         |                                |                     |                                      |                          |                           |               |
| Subsidiary Dividend to Minority Shareholders          |                                               |                         |                                |                     |                                      | -                        | (28,000,949)              | (28,000,949)  |
| Revaluation transferred to Retained Earnings due to I | -                                             |                         | -                              | (226,282,591)       | -                                    | 226,282,591              | -                         | -             |
| Effect of Change in Percentage Holding in Subsidiary  | -                                             |                         | -                              | -                   | -                                    | 72,907,097               | (224,373,137)             | (151,466,040) |
| Balance as at 31 March 2020                           | 1,053,643,405                                 | (19,080,559)            | (216,339,016)                  | 1,039,067,197       | (152,287,913)                        | 1,975,475,189            | 3,176,697,940             | 6,857,176,243 |
| Profit / (Loss) for the period                        |                                               |                         |                                |                     |                                      | 105,011,211              | 141,503,002               | 246,514,213   |
| Other Comprehensive Income                            |                                               | 11,067,682              | 42,927,265                     | -                   | (55,984,855)                         | 97,202,422               | (92,256,663)              | 2,955,850     |
| <b>Total Comprehensive Income for the Period</b>      |                                               | 11,067,682              | 42,927,265                     | -                   | (55,984,855)                         | 202,213,632              | 49,246,339                | 249,470,063   |
| Subsidiary Dividend to Minority Shareholders          |                                               |                         |                                |                     |                                      | -                        | (63,287,093)              | (63,287,093)  |
| Balance as at 30 September 2020                       | 1,053,643,405                                 | (8,012,877)             | (173,411,751)                  | 1,039,067,197       | (208,272,768)                        | 2,177,688,822            | 3,162,657,186             | 7,043,359,213 |

| COMPANY                                   | Stated Capital<br>Rs. | Amalgamation Reserve<br>Rs. | Retained Earnings<br>Rs. | Total Equity<br>Rs. |
|-------------------------------------------|-----------------------|-----------------------------|--------------------------|---------------------|
| Balance as at 31 <sup>st</sup> March 2019 | 1,053,643,405         | 258,920,263                 | 4,304,184,125            | 5,616,747,793       |
| Profit / (Loss) for the period            |                       |                             | (144,830,421)            | (144,830,421)       |
| Balance as at 30 September 2019           | 1,053,643,405         | 258,920,263                 | 4,159,353,704            | 5,471,917,372       |
| Profit / (Loss) for the period            | -                     | -                           | 377,299,477              | 377,299,477         |
| Balance as at 31 <sup>st</sup> March 2020 | 1,053,643,405         | 258,920,263                 | 4,536,653,181            | 5,849,216,849       |
| Profit / (Loss) for the period            | -                     | -                           | 11,421,812               | 11,421,812          |
| Balance as at 30 September 2020           | 1,053,643,405         | 258,920,263                 | 4,548,074,993            | 5,860,638,661       |

**AMBEON CAPITAL PLC AND ITS SUBSIDIARIES**  
**CASH FLOW STATEMENT**

*For the period Ended 30th September,*

|                                                                              | CONSOLIDATED           |                      | COMPANY                |                      |
|------------------------------------------------------------------------------|------------------------|----------------------|------------------------|----------------------|
|                                                                              | 2020                   | 2019                 | 2020                   | 2019                 |
|                                                                              | Rs.                    | Rs.                  | Rs.                    | Rs.                  |
| <b>Cash flows From Operating Activities</b>                                  |                        |                      |                        |                      |
| Profit before Taxation                                                       | 380,989,759            | (32,058,854)         | 11,421,812             | (144,830,421)        |
| Profit/(Loss) before tax from discontinued operations                        | -                      | (47,000)             | -                      | -                    |
| <b>Adjustment for</b>                                                        |                        |                      |                        |                      |
| Depreciation, amortization and impairment charges                            | 186,842,073            | 190,169,237          | 2,537,757              | 2,125,583            |
| Amortisation of Intangible Assets/ROU Assets                                 | 105,512,510            | 57,374,515           | -                      | -                    |
| Fair Value (Gain)/Loss On Current Investments                                | (6,637,755)            | (12,962,975)         | (12,836,046)           | (2,228,595)          |
| Provision for Retirement Gratuity                                            | 58,228,521             | 58,140,718           | -                      | -                    |
| Interest Expense                                                             | 456,373,192            | 605,084,382          | -                      | -                    |
| (Gain)/Loss on disposal of Property, Plant & Equipment                       | -                      | 287,836              | -                      | -                    |
| Profit on Disposal Of Current Investment                                     | (1,069,564)            | (7,195,902)          | -                      | -                    |
| <b>Operating Profit before Working Capital Changes</b>                       | <b>1,180,238,736</b>   | <b>858,791,957</b>   | <b>1,123,523</b>       | <b>(144,933,433)</b> |
| (Increase)/Decrease in Inventories                                           | 1,107,484,551          | (353,244,372)        | -                      | -                    |
| (Increase)/Decrease in Trade & Other Receivables                             | 129,358,209            | (165,476,081)        | 4,334,449              | (14,342,565)         |
| Increase/(Decrease) in Deferred income                                       | (66,740,515)           | 155,365,288          | -                      | -                    |
| Increase/(Decrease) in Trade & Other Payable                                 | 615,912,061            | 527,018,591          | (600,320)              | (600,869)            |
| <b>Cash Generated from Operations</b>                                        | <b>2,966,253,042</b>   | <b>1,022,455,383</b> | <b>4,857,652</b>       | <b>(159,876,867)</b> |
| Interest Paid                                                                | (454,241,009)          | (605,084,382)        | -                      | -                    |
| Income Tax Paid                                                              | (7,577,635)            | (25,703,156)         | -                      | -                    |
| Retiring Gratuity Paid                                                       | (17,370,778)           | (25,496,238)         | -                      | -                    |
| <b>Net Cash Flow from Operating Activities</b>                               | <b>2,487,063,620</b>   | <b>366,171,607</b>   | <b>4,857,652</b>       | <b>(159,876,867)</b> |
| <b>Cash Flow from Investing Activities</b>                                   |                        |                      |                        |                      |
| Net Proceeds from Government Securities                                      | (1,188,672,015)        | 77,383,370           | (1,188,672,015)        | 77,383,370           |
| Acquisition of Property, Plant & Equipment                                   | (23,696,051)           | (110,809,217)        | -                      | (17,990)             |
| Purchase of Intangible Assets                                                | (1,408,795)            | (452,694,667)        | -                      | -                    |
| Investments in Investment Property                                           | -                      | (3,667,910)          | -                      | -                    |
| Investment In Other Financial Assets                                         | (399,984)              | (3,741,296)          | -                      | -                    |
| Proceeds from sale of Investments                                            | 113,521,286            | 49,211,673           | -                      | -                    |
| <b>Net Cash Flow Used in Investing Activities</b>                            | <b>(1,100,655,559)</b> | <b>(444,318,047)</b> | <b>(1,188,672,015)</b> | <b>77,365,380</b>    |
| <b>Cash Flow from Financing Activities</b>                                   |                        |                      |                        |                      |
| Proceeds from Interest Bearing Loans & Borrowings, net of payments           | (749,505,527)          | 620,833,901          | 1,071,339,171          | 94,047,423           |
| Repayment of finance Lease                                                   | (25,472,256)           | (6,946,543)          | -                      | -                    |
| Dividend Paid to Non Controlling Interest                                    | (63,287,093)           | -                    | -                      | -                    |
| Repayments of Loans                                                          | -                      | -                    | -                      | -                    |
| Effect of Hedge                                                              | 13,591,651             | -                    | -                      | -                    |
| Proceed from Share Disposal                                                  | -                      | -                    | -                      | -                    |
| Acquisition by Non Controlling Interest                                      | -                      | (151,466,040)        | -                      | -                    |
| Dividend Paid                                                                | -                      | -                    | -                      | -                    |
| <b>Net Cash Flow from Financing Activities</b>                               | <b>(824,673,225)</b>   | <b>462,421,318</b>   | <b>1,071,339,171</b>   | <b>94,047,423</b>    |
| <b>Net Increase/Decrease in Cash &amp; Cash Equivalent during the period</b> | <b>561,735,834</b>     | <b>384,274,878</b>   | <b>(112,475,192)</b>   | <b>11,535,936</b>    |
| <b>Cash &amp; Cash Equivalents</b>                                           |                        |                      |                        |                      |
| Net foreign exchange difference                                              | (81,910,175)           | 47,718,368           | -                      | -                    |
| Net movement during the period                                               | 561,735,834            | 384,274,878          | (112,475,192)          | 11,535,936           |
| At the beginning of the period                                               | (832,302,548)          | (811,638,286)        | (77,707,378)           | (33,758,277)         |
| <b>At the end of the year (Note A)</b>                                       | <b>(352,476,889)</b>   | <b>(379,645,040)</b> | <b>(190,182,570)</b>   | <b>(22,222,341)</b>  |
| <b>Note A-Cash and Equivalents are as follows</b>                            |                        |                      |                        |                      |
| Cash in Hand & Bank                                                          | 1,053,753,651          | 1,160,113,605        | 314,423                | 852,268              |
| Bank & Other Borrowings                                                      | (1,406,230,540)        | (1,539,758,645)      | (190,496,993)          | (23,074,609)         |
|                                                                              | (352,476,889)          | (379,645,040)        | (190,182,570)          | (22,222,341)         |

**1 Corporate Information**

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No 7 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange and subsequently changed its name to Taprobane Holdings PLC on 13th July 2012 and as Ambeon Capital PLC on 10th May 2018.

The Interim Financial Statements of the Group and the Company for the period ended 30 September 2020 were authorised for issue by the Board of Directors on 11th November 2020.

**2 Basis of Preparation**

The interim consolidated financial statements for the period ended 30 September 2020 have been prepared in accordance with LKAS 34 - Interim Financial Reporting. The Interim Consolidated Financial Statements do not include all the information and disclosures required in the annual financial statements, and should be read in conjunction with the Group's Audit Financial Statements as at 31 March 2020.

Where appropriate, certain financial statement line items have been reclassified to conform to the current period presentation.

**3 Segment Information - Group**

|                                                                | <b>CONSOLIDATED</b>  |                       |
|----------------------------------------------------------------|----------------------|-----------------------|
|                                                                | <b>2020/21</b>       | <b>2019/20</b>        |
|                                                                | <b>6 Months</b>      | <b>6 Months</b>       |
| <b>(a) Revenue</b>                                             |                      |                       |
| Manufacturing Footwear                                         | 6,857,171            | 245,307,533           |
| Manufacturing Porcelain                                        | 893,130,994          | 1,085,391,536         |
| Manufacturing Textile                                          | 4,439,150,052        | 4,891,181,375         |
| Investment                                                     | 288,770,844          | 187,460,377           |
| IT and related Services                                        | 3,006,314,054        | 4,411,030,811         |
| Financial Services                                             | 108,584,988          | 69,866,269            |
| Property                                                       | 19,483,391           | 12,124,621            |
| <b>Revenue</b>                                                 | <b>8,762,291,494</b> | <b>10,902,362,522</b> |
| Direct Expenses                                                | (6,635,334,524)      | (8,747,977,790)       |
| <b>Gross Profit</b>                                            | <b>2,126,956,970</b> | <b>2,154,384,732</b>  |
| <b>(b) Industry Segment Profit</b>                             |                      |                       |
| Manufacturing Footwear                                         | (27,469,272)         | (196,032,552)         |
| Manufacturing Porcelain                                        | (60,514,935)         | (31,728,393)          |
| Manufacturing Textile                                          | 190,349,990          | 156,056,992           |
| Investment                                                     | (104,549,735)        | (308,720,303)         |
| IT and related Services                                        | 278,452,227          | 287,159,780           |
| Financial Services                                             | 96,833,446           | 39,598,862            |
| Property                                                       | 7,888,038            | 21,606,760            |
| <b>Profit Before Income Tax</b>                                | <b>380,989,759</b>   | <b>(32,058,854)</b>   |
| Income Tax Expense                                             | (134,475,546)        | (114,298,260)         |
| <b>Profit/(Loss) for the period from continuing operations</b> | <b>246,514,213</b>   | <b>(146,357,114)</b>  |
| Discontinued operations                                        | -                    | (47,000)              |
| <b>Profit/(Loss) for the Period</b>                            | <b>246,514,213</b>   | <b>(146,404,114)</b>  |
| Other Comprehensive Income for the period (Net of Tax)         | 2,954,850            | 25,753,047            |
| <b>Total Comprehensive Income for the period</b>               | <b>249,469,063</b>   | <b>(120,651,067)</b>  |

**4 Stated Capital**

Stated Capital is represented by number of shares in issue as given below:

|                 | 2020          | 2019          |
|-----------------|---------------|---------------|
| Ordinary Shares | 1,002,724,815 | 1,002,724,815 |

**5 Related Party Transactions**

The nature of Related Party Transactions in the period under review is similar to those reported in the annual report for the year 2019/20.

**6 Share Information**

**6.1 Market Price per Share**

The market value of an ordinary share of Ambeon Capital PLC was as follows:

|                                               | 30.09.2020 | 30.09.2019 |
|-----------------------------------------------|------------|------------|
| Last traded price recorded for 3 months ended | 5.70       | 4.50       |
| Highest price recorded for 3 months ended     | 6.30       | 5.20       |
| Lowest price recorded for 3 months ended      | 3.20       | 3.00       |

**6.2 Public Share Holdings**

The company is not in compliance with the Minimum Public Holding requirements for Companies listed on the Diri Savi Board as per Rule 7.13.1 (b) of the Listing Rules of the Colombo Stock Exchange, under Option 2, i.e. Float-Adjusted Market Capitalization of less than Rs 1 Billion with 200 Public Shareholders and a Public Holding percentage of 10%.

**The Company's Public Holding as at 30th September 2020**

|                                                  |                |
|--------------------------------------------------|----------------|
| Float-Adjusted Market Capitalization             | 149,732,000.40 |
| Number of Public shareholders                    | 735            |
| Percentage of ordinary shares held by the public | 2.62%          |

**6.3 Twenty Major Shareholders**

|                      |                                                              | 30.09.2020         |               |
|----------------------|--------------------------------------------------------------|--------------------|---------------|
|                      |                                                              | Number of          | (%)           |
| Name of Shareholders |                                                              | Shares             |               |
| 1                    | CHC Investment (Pvt) Ltd                                     | 568,327,024        | 56.68%        |
| 2                    | Seylan Bank PLC/ARRC Capital (Pvt) Ltd                       | 355,526,332        | 35.46%        |
| 3                    | ARRC Capital (Pvt) Ltd                                       | 51,190,106         | 5.11%         |
| 4                    | Seylan Bank PLC/Ruwan Prasanna Sugathadasa                   | 17,041,147         | 1.70%         |
| 5                    | Merchant Bank Of Sri Lanka & Finance PLC/K.K. Wickramasinghe | 864,715            | 0.09%         |
| 6                    | Mr. Sarinda Wasanth Unamboowe                                | 768,783            | 0.08%         |
| 7                    | Mr. Ranil Prasad Pathirana                                   | 500,000            | 0.05%         |
| 8                    | Merchant Bank Of Sri Lanka & Finance PLC/S Gobinath          | 365,001            | 0.04%         |
| 9                    | Mrs. Banuri Kumari Vanya Wickramasinghe                      | 267,500            | 0.03%         |
| 10                   | Mrs. Shirani Sunila Silva                                    | 240,000            | 0.02%         |
| 11                   | Mr. Kangasu Chelvadurai Vignarajah                           | 207,547            | 0.02%         |
| 12                   | Mr. Ram Pritamdas                                            | 205,000            | 0.02%         |
| 13                   | Mr. Aluthgama Kankanamge Kingsly Marvin Perera               | 200,000            | 0.02%         |
| 14                   | Mr. Wagage Ajith Kumara Jayasinghe                           | 200,000            | 0.02%         |
| 15                   | Mr. Weerakondabaduge Indaka Jayadeep Fernando                | 200,000            | 0.02%         |
| 16                   | Mr. Pathirage Hemantha Devapriya Perera                      | 157,380            | 0.02%         |
| 17                   | Mr. Rajapaksha Rathnayaka Sarath Ananda                      | 147,341            | 0.01%         |
| 18                   | Mr. Michael De Saram                                         | 140,000            | 0.01%         |
| 19                   | Citizens Development Business Finance PLC/T.K.Fernando       | 135,703            | 0.01%         |
| 20                   | Mr. Mohamed Thasim Rajabkhan                                 | 126,602            | 0.01%         |
|                      |                                                              | <b>996,810,181</b> | <b>99.41%</b> |

**6.4 Director's and Chief Executive Officers Share Holding as at 30th September 2020**

|                        | Number of<br>Shares |
|------------------------|---------------------|
| Mr. S.E. Gardiner      | Nil                 |
| Mr. P. D. J. Fernando  | Nil                 |
| Mr. A. L. Devasurendra | 138                 |
| Mr. S.H. Amarasekera   | Nil                 |
| Mr. R.P. Pathirana     | 500,000             |
| Mr. S.W. Unamboowe     | 768,783             |
| Mr. P.D. Rodrigo       | Nil                 |
| Mr. N.M. Prakash       | 20,477              |
| Mr. R.T. Devasurendra  | Nil                 |
|                        | <b>1,289,398</b>    |

**7 Earnings per Share**

The computation of the Basic Earnings per Ordinary Share has been done based on net profit attributable to ordinary shareholders for the year, divided by weighted average number of ordinary shares in issue as at the balance sheet date and calculated as follows.

|                                                            | Group              |                      | Company           |                      |
|------------------------------------------------------------|--------------------|----------------------|-------------------|----------------------|
|                                                            | 30/09/2020         | 30/09/2019           | 30/09/2020        | 30/09/2019           |
| <u>Amounts used as the Numerator</u>                       |                    |                      |                   |                      |
| Net Profit / (Loss) Attributable to Ordinary Shareholders  | <u>105,011,211</u> | <u>(144,716,179)</u> | <u>11,421,812</u> | <u>(144,830,421)</u> |
| Weighted Average Number of Ordinary Shares in Issue (Nos.) | 1,002,724,815      | 1,002,724,815        | 1,002,724,815     | 1,002,724,815        |
| Basic Earnings per Ordinary Share (Rs.)                    | 0.10               | (0.14)               | 0.01              | (0.14)               |

**8 Comparative Information**

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

**9 Commitment and Contingencies**

Ambeon Holdings PLC has provided corporate guarantee facilities to banks on behalf of its subsidiaries to obtain banking facilities. The details are as follows.

| Name of the Company                       | Bank           | Amount LKR Mn | Outstanding Balance as at 30th September |
|-------------------------------------------|----------------|---------------|------------------------------------------|
| Royal Fernwood Porcelain Ltd              | People's Bank  | 65            | 34                                       |
|                                           | DFCC Bank      | 20            | 20                                       |
| Millennium IT ESP                         | Seylan Bank    | 2,000         | 411                                      |
| South Asia Textiles Ltd                   | Peoples Bank   | 804 (USD 4.4) | 557                                      |
| Ceylon Leather Products Manufacturers Ltd | Peoples Bank   | 205           | 174                                      |
| Ceylon Leather Products Ltd               | Bank Of Ceylon | 60            | -                                        |

10 FAIR VALUE MEASUREMENT

GROUP

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The Group held the following assets and liabilities carried at fair value in the statement of financial position:

**Assets Measured at Fair Value**

|                                        | Level 1              |                      | Level 2           |                   | Level 3              |                      |
|----------------------------------------|----------------------|----------------------|-------------------|-------------------|----------------------|----------------------|
|                                        | 30/09/2020           | 31/03/2020           | 30/09/2020        | 31/03/2020        | 30/09/2020           | 31/03/2020           |
|                                        | LKR                  | LKR                  | LKR               | LKR               | LKR                  | LKR                  |
| Investment Properties                  | -                    | -                    | -                 | -                 | 4,405,315,026        | 4,405,315,025        |
| Financial Instrument at Amortized Cost | -                    | -                    | 14,009,154        | 14,009,154        | -                    | -                    |
| Land                                   | -                    | -                    | -                 | -                 | 1,136,188,150        | 1,136,188,150        |
| Buildings                              | -                    | -                    | -                 | -                 | 814,446,954          | 814,446,954          |
| Building on Leasehold Land             | -                    | -                    | -                 | -                 | 805,500,000          | 805,500,000          |
| <b>Financial Assets</b>                |                      |                      |                   |                   |                      |                      |
| Fair value through Profit or Loss      | 2,272,986,765        | 1,097,879,268        | -                 | -                 | -                    | -                    |
| Financial assets held for trading:     | 610,635,910          | 562,312,205          | -                 | -                 | -                    | -                    |
|                                        | <b>2,883,622,675</b> | <b>1,660,191,472</b> | <b>14,009,154</b> | <b>14,009,154</b> | <b>7,161,450,130</b> | <b>7,161,450,129</b> |

| COMPANY                            | Level 1              |                      | Level 2    |            | Level 3              |                      |
|------------------------------------|----------------------|----------------------|------------|------------|----------------------|----------------------|
|                                    | 30/09/2020           | 31/03/2020           | 30/09/2020 | 31/03/2020 | 30/09/2020           | 31/03/2020           |
|                                    | LKR                  | LKR                  | LKR        | LKR        | LKR                  | LKR                  |
| Investment Properties              | -                    | -                    | -          | -          | 33,000,000           | 33,000,000           |
| Investment in Subsidiaries         | -                    | -                    | -          | -          | 9,177,601,891        | 9,177,601,891        |
| <b>FVTPL - Financial Assets</b>    |                      |                      |            |            |                      |                      |
| Fair Value Through Profit or Loss  | 2,244,934,547        | 1,043,426,486        | -          | -          | -                    | -                    |
| Financial assets held for trading: | -                    | -                    | -          | -          | -                    | -                    |
|                                    | <b>2,244,934,547</b> | <b>1,043,426,486</b> | <b>-</b>   | <b>-</b>   | <b>9,210,601,891</b> | <b>9,210,601,891</b> |

**Financial Assets and Liabilities measured or disclosed at Fair Value**

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

**The following methods and assumptions were used to estimate the fair values:**

The fair values of the quoted equities are based on price quotations at the reporting date.

Long-term fixed-rate borrowings are evaluated by the Group based on interest rates.

Those assumptions for assets categorised as Level 3 has been described under respective notes to the financial Statements as at 31 March 2020.

During the reporting period ended 31 March 2020 and 30 September 2020, there were no transfers between Level 1 and Level 2 fair value measurements.

11 Events after the Balance Sheet date

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the Financial Statements ,

12 Interim figures are provisional and subject to an audit.

## AMBEON CAPITAL PLC AND ITS SUBSIDIARIES

### CORPORATE INFORMATION

**Name of the Company**

Ambeon Capital PLC

**Legal Form**

A Public Limited Liability Company

Quoted on the Colombo Stock Exchange on the 17th May 2012 and

Incorporated in Sri Lanka on 20th September 2006

**Company Registration Number**

PB 1090 PQ

**Board of Directors**

Mr. Sanjeev Edward Gardiner- Chairman

Mr. Ajith Lasantha Devasurendra - Deputy Chairman

Mr. Nadarajah Muralee Prakash - Group Managing Director/CEO

Mr. Priyantha Damian Joseph Fernando - Independent Non- Executive Director

Mr. Shiran Harsha Amarasekera - Non Independent Non- Executive Director

Mr. Ranil Prasad Pathirana- Non Independent Non - Executive Director

Mr. Sarinda Wasanth Unamboowe - Independent Non- Executive Director

Mr. Parakrama Devasiri Rodrigo - Independent Non- Executive Director

Mr. Revantha Devasurendra -Alternate Director

**Secretaries**

Managers & Secretaries (Pvt) Ltd

No. 08, Tickell Road ,

Colombo 08.

**Business & Registered Office**

No.10, Gothami Road,

Colombo 08

Telephone : 94 11 5328100

Fax : 94 11 5328109

**Auditors**

ERNST & YOUNG

Chartered Accountants,

No. 201, De Saram Place,

Colombo 10.

**Bankers**

Seylan Bank PLC - Millennium Branch

Pan Asia Banking Corporation PLC - Head Office

National Development Bank PLC - Head Office